

2023 FINANCIAL REGULATIONS REVENUE REPORT

CONSTITUTIONAL AGENCIES

1. INTRODUCTION

This report attempts to present a summary of the revenue collection agencies that comprise the Constitutional Agencies of the Government in 2023. The Constitutional agencies include the Citizenship Office, the State Law Office, the Judiciary, the Public Service Commission, Parliament, the Public Solicitor, the Public Prosecutor, the National Audit Office, and the Ombudsman Office.

The Constitutional Agencies are budgeted to collect fees and charges totalling VT 9,118.9 million in the financial year 2023. This represents 26% of the entire budgeted government revenue.

The Office of the Attorney General (AOG) and the Citizenship Office make 99% of the Constitutional Agencies' revenue budget mainly from the Honorary Citizenship Program fees. It is important to emphasize that the bulk of the institutions do not generate revenue. They typically charge a user charge fee or a fee for the services offered. Clients or users of services must pay these costs before to receiving them.

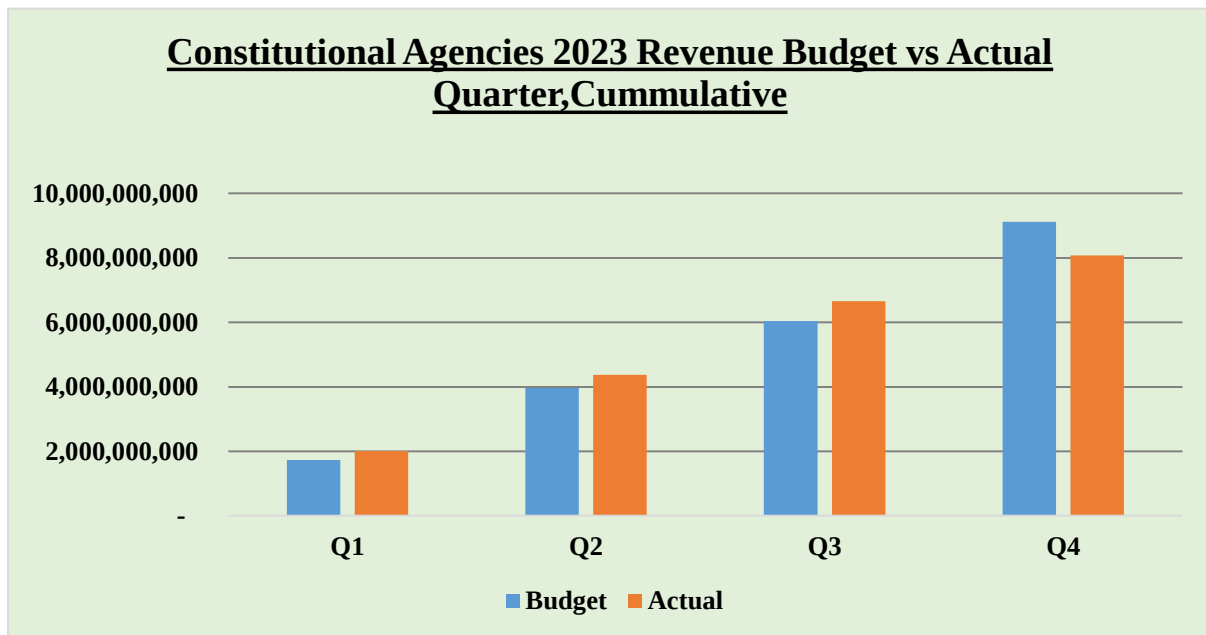
Table 1.1. Constitutional Agencies who are Revenue Collecting Agencies:

Constitutional Agency	2023 Revenue Budget (in VT)	Total Constitutional Agencies % Share of Revenue
Citizenship Office	8,640.0 million	94.7%
Office of the Attorney General	403.0 million	4.4%
Judiciary	26.7 million	0.3%
Public Service Commission	35.8 million	0.4%
Public Solicitor	900,000 Thousand	0.1%
Public Prosecutor	851,490 thousand	0.0%
National Audit Office	11.6 million	0.4%

2. 2023 REVENUE UPDATE

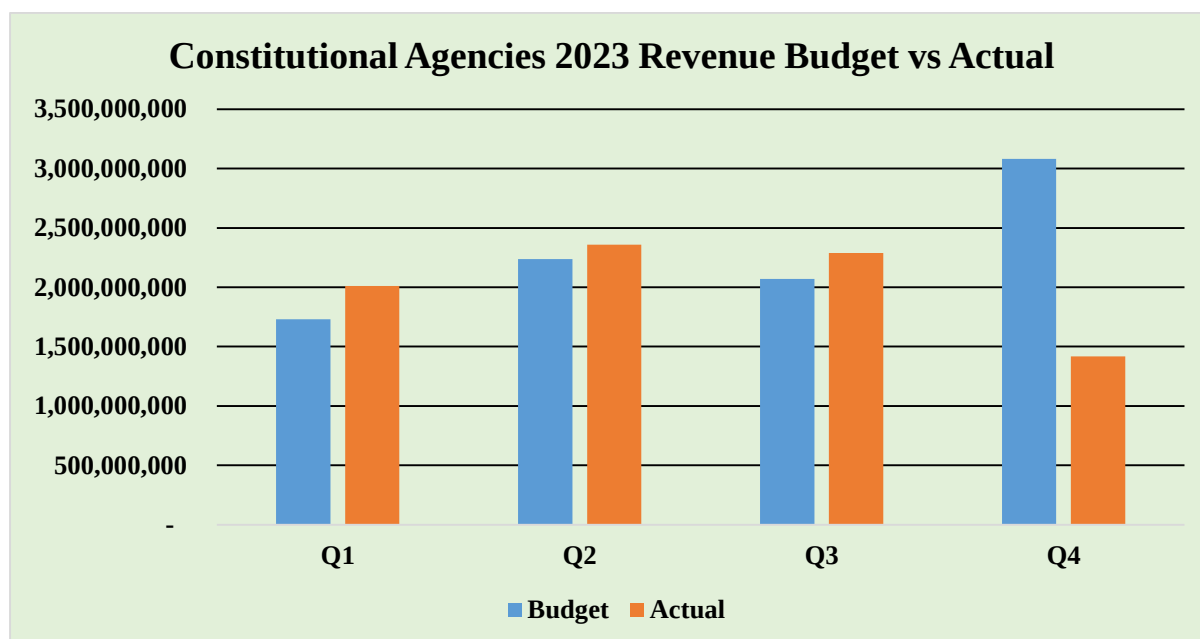
Graph 2.1 below shows cumulative Constitutional Agencies' revenue budget for each progressive quarter against the actual revenue collected.

Graph 2.1. Constitutional Agencies' Cumulative Quarterly Revenue Budget vs. Actual



At the end of 2023, the Constitutional Agencies collected a total revenue of VT 8,072.6 million, which was 11.5% less than their budget aim. The graph 2.1 illustrates that actual revenue continues to increase in each quarter of the year. The majority of the increase comes from the Citizenship Office and the Attorney General's Office, which account for approximately 99.3% of total revenue collection through Honorary Citizenship Program Fees.

Graph 2.2. Constitutional Agencies' Collection in each Quarter Revenue Budget vs. Actual



The bar graph 2.2 above depicts the revenue performance for each quarter of 2023. The actual revenue collection in quarters two and three was the highest when compared to quarters one and two.

3. GENERAL DISCUSSIONS - REVENUE COLLECTION BY CONSTITUTIONAL AGENCIES

Annex 1 of this report provides an overview of the specific revenue collected within the Constitutional Agencies in 2023.

Revenue Collections by individual Agencies are presented in Table 3.1

Table 3.1 Brief Summary – 2023 Revenue Budget vs. Actuals

	Revised 2023 Annual Revenue Budget	2023 Actuals	Variance	Percentage of Annual Revenue Budget collected
Office of the Ombudsman		600,000		
Citizenship Office	8,640,000,000	7,751,222,871	-888,777,129	89.7%
Judiciary	26,725,000	24,564,800	-2,160,200	91.9%
Public Prosecutor	851,490	668,545	- 182,945	78.5%
Public Service Commission	35,833,937	29373154	- 6,460,783	82.0%
Public Solicitor	900,000	1,214,806	314,806	135.0%

National Audit Office	11,570,000	-	-11,570,000	0.0%
Malvatumauri Council of Chiefs		10,000	10,000	
State Law Office	403,000,000	264,978,125	-138,021,875	65.8%
Total	9,118,880,427	8,072,632,301	-1,046,248,126	87%

3.1.Citizenship Office

The Citizenship Office currently oversees the Vanuatu Citizenship by Investment (CBI) program. CBI initiatives "help create significant sovereign and societal value by transferring assets from wealthy individuals to developing countries," promoting fiscal independence while addressing the growing imbalances and injustices inherent in traditional sovereign debt financing. Vanuatu is one of at least 13 nations in the world that offer CBI programs, as well as one of over 60 countries that offer immigration investment.

Vanuatu's CBI program is offered through its Vanuatu Development Support Program (VDSP) and Vanuatu Contribution Program (VCP) which alone has been budgeted to collect 26% of the 2023 National Revenue Budget.

The Citizenship Office's revenue from the CBI program, known as Honorary Citizenship Program Fees, is expected to total VT 9,118.9 million in the 2023 budget. The Citizenship Office's actual collections (excluding program fees received by other agencies such as SLO, the Civil Registry, and the Immigration Office) totalled to VT 8,072.6 million at the end of the year. With the EU's Visa Waiver requirement and the accompanying bank issues, revenue collection has decreased slightly in 2023.

Concerns that the Program is an unsustainable source of government money have made news in Vanuatu. Nevertheless, any modifications to the program must be carefully considered, considering the considerable contribution it makes to the national revenue basket and, consequently, the spending.

3.2.Office of the Attorney General

The Office of the Attorney General (OAG) main duties include giving the government legal counsel and advocating on its behalf in court. As a result of litigation, the Office also offers legislative drafting services and policy advice to the government. In accordance with the Anti-Money Laundering & Counter Terrorism Financing Act No. 13 of 2014 ("AML&CTF Act"), the agency also provides financial intelligence services to the government. More than 90% of the revenue tallied under this Constitutional Body is produced by the Financial Intelligence Unit (FIU).

The total revenue collected by the Office of the Attorney General at the end of 2023 was VT 265.0 million. Thus, OAG revenue collection below its VT 403.0 million annual revenue budget objective.

Revenue collected from court cost recoveries, other fines and publications have exceeded the quarter's budget target. 96.8 percent of the revenue collected by the Office of the Attorney

General are from Due Diligence fees that directly relate to the Honorary Citizenship Program. Successful citizenship holders from the Vanuatu Development Support Program (VDSP) and Vanuatu Development Program (VDP) are obligated under the law to undergo a due Diligence check by the Financial Intelligence Unit (FIU). The OAG through its FIU have collected below their 2023 revenue target.

The Citizenship program's revenue source will follow a comparable trajectory to the FIU's receipt of due diligence fees. The Office of the Attorney General will collect due diligence fees and other related expenditures, and these costs will increase in parallel with the program's revenue.

3.3.Public Solicitor

The revenue collected under the Public Solicitors office is related to the user charge fees imposed for the service provided. The office collected 135.0% more than its budget target this year. The collection recorded as Other Fees is from services provided for new mortgage and advice fees as well as new client fees.

3.4.Judiciary

The majority of revenue received from the judiciary is tied to court fines levied by this constitutional body. The Supreme Court normally receives the largest share of Court Fines as revenue, followed by the Magistrate Courts and finally the Island Courts. Fines are typically required to be paid before the Judiciary can give service. The Judiciary's revenue collection in 2023 was only 91.9 percent less than its budget objective of VT 26.6 million in total.

3.5.Public Service Commission

The Public Service Commission (PSC) collected VT 29.4 million in revenue for the financial year 2023. The actual revenue collection fell short of its revenue budget target of VT 35.8 million for the fiscal year 2023, accounting for only 82 percent of the target. Government House Recoveries are rentals collected from Government Housing properties, and they account for 99.0 percent of PSC's total collections this quarter.

3.6. Public Prosecutor

The Public Prosecutor's Office has set a revenue budget of VT 851,490 thousand for the fiscal year 2023. At the end of 2023, the actual revenue collection was VT 668,545 thousand, representing 78.5 percent of the revenue budget objective. Court Costs Recoveries are the principal source of revenue for the Public Prosecutor's Office.

4. OVERALL PERSPECTIVE ON 2023 REVENUE PERFORMANCE

Overall, the Constitutional Agencies' revenue collection items has only met 88.5 percent of their revenue budget target. The State Law Office and the Citizenship Office, both of are the main revenue collecting agencies within the Constitutional Agencies, have underperformed their budgets targets in 2023 financial year. However, the revenue trend has declined in comparison to previous years. As a result, considering their significant influence on the national budget, changes to countries' CBI programs must be carefully considered.

ANNEX

Department	2023 Revenue Budget	2023 Actuals	Variance	Percentage Achieve
030 - Office of the Ombudsman		600,000	600,000	0.0
030 7NIO Other Fines		600,000	600,000	0.0
Citizenship Office	8,640,000,000	7,751,222,871	- 888,777,129	89.7%
060 7NFC Capital Investment Immigration Plan Fees		209,004,219	209,004,219	0.0
060 7NFF Honorary Citizenship Program Fees	8,612,902,334	7,517,226,501	- 1,095,675,833	87.3%
060 7NFO Other Fees	16,933,448	80,110	- 16,853,338	0.5%
060 7NFY Citizenship Fees	8,545,826	23,760,045	15,214,219	278.0%
060 7NOA Application Charges Recoveries	1,618,392	1,151,996	- 466,396	71.2%
Judiciary	26,725,000	24,564,800	- 2,160,200	91.9%
140 7NFN Court Fees	915,000		- 915,000	0.0
140 7NOC Court Costs Recoveries	1,074,500	16,764,340	15,689,840	1560.2%
140 7TFC Court Fines	24,735,500	7,800,460	- 16,935,040	31.5%
Public Service Commission	35,833,937	29,373,154	- 6,460,783	82.0%
190 7NDV Vehicles Disposals	-		-	0.0
190 7NOH Government Houses Recoveries	35,523,937	29,373,154	- 6,150,783	82.7%
190 7NOK Vehicle Hire	300,000		- 300,000	0.0
190 7NOV Valuations Recoveries	10,000		- 10,000	0.0
Public Solicitor	900,000	1,214,806	314,806	135.0%
130 7NOO Other Recoveries	900,000	1,214,806	314,806	135.0%
State Law Office	403,000,000	264,978,125	- 138,021,875	65.8%
110 7NFF Honorary Citizenship Program Fees	400,000,000	222,810,282	- 177,189,718	55.7%
110 7NIO Other Fines	1,000,000	7,249,850	6,249,850	725.0%
110 7NOC Court Costs Recoveries	-		-	0.0
110 7NTP Publications Revenue	2,000,000	1,665,587	- 334,413	83.3%

110 7NFC Capital Investment Immigration Plan Fees	-	33,252,406	33,252,406	0.0
National Audit Office	11,570,000		- 11,570,000	0.0
05 7NFO Other Fees	11,570,000		- 11,570,000	0.0
04 - Malvatumauri Council of Chiefs		10,000	10,000	0.0
040 7NFO Other Fees	-	10,000	10,000	0.0
12 - Public Prosecutor	851,490	668,545	- 182,945	78.5%
120 7NOC Court Costs Recoveries	100,000	668,545	568,545	668.5%
120 7NOO Other Recoveries	751,490		- 751,490	0.0
TOTAL	9,118,880,427	8,072,632,301	- 1,046,248,126	88.5%